



our export services etc, you will get more backward linked sectors as well, like between construction and cement. Sectors which are more income inelastic will be hurt. Will the Indian industry realise that the downturn is going to come and last for a while and therefore it has to reduce its price inelasticity? I don't see it happening, and unless that happens we will not recover fast. This is aggravated by the ratcheting up of agricultural prices by the Government, like in cotton. I think the banking sector has to be much more active than it is in resolving some of these issues.

Goyal: Obviously, exports and interest-sensitive sectors are

BANDEEP SINGH



“ The real issue is that we haven't had structural reforms in four years and nine months; we cannot expect it at this time. More sops are a threat, not a promise. ”

BIBEK DEBROY, Professor, Centre for Policy Research & IMI

worst off and also firms that have borrowed from abroad. CSO figures show that consumption expenditure has slid by 1.5 per cent this quarter. I think we are debating too long on interest rates. Banks should bring down interest rates, particularly for retail customers. If passed through quickly, lower interest rates will spur revival. The pain does not have to be protracted.

Ranade: There seems to be a sense that all export sectors would do badly. I have a contrarian view. In a recession, people fall sick and hence pharma should do well. Similarly, IT should do better because the pressure of cost-cutting will be more on western corporations. The sector that will do badly in exports is auto components. The Indian capacity for auto

“ A stimulus package is in place but our capacity to deliver is poor as is evidenced in the highways project. Monetary policies will take six to eight months to show results. ”

RAJIV KUMAR, Director and Chief Executive, ICRIER

components is four times the capacity to produce automobiles in India. Domestically, I think telecom may do well but all credit-sensitive sectors will be hit.

Roy: The services sector growth is linked to industry. When industry grew at 7-8 per cent, services grew at 10-11 per cent. Lower growth in industry will hit services. In exports, we should look at where we have cost advantage, and should focus on that. Secondly, while overall exports may be hit, export of compact cars has been higher. In construction, the issue is sentiment. Job security is linked to borrowing and buying as EMIs have to be paid and we can see the evidence in postponement of purchases.

Prabhu Chawla: So what is the consensus view? Which are the worst hit sectors?

Kumar: One, the construction sector i.e. real estate; two, automobiles; and three, textiles. Employment and income are affected. These are three for me, and the fourth, if you like to add, will be agriculture but that is too big.

Is it Due to Meltdown or Inflation? HOW DID WE GET HERE?

Roy: I think inflation management was not bad.

Goyal: It was all right till 2007 and after that, it got too much. After June 2007 when the repo rate was 7.5, the MP began a downward trend, yet the tightening continued until the repo rate peaked at 9 per cent.

Gokarn: I think the central bank had no choice and that was the only thing in 2006-07 and they responded appropriately but it continued in the trajectory that was being followed in the early part of 2008. So I would not criticise the policy.

Bery: I don't think we are suffering from overreaction to inflation management. By the way, we keep talking about inflation coming down but the reported inflation is past inflation whereas the meaningful concept for any corporate or individual is future inflationary expectation.

Debroy: Yes, inflation management was not sensible and the global shock shaved off another per cent.

Dev: Inflation management was okay but as others said, they could have cut the interest rates in June. It lasted too long.

Kumar: Inflation management started well but they overdid it. It also points to the need of having much better data and information sources in the hands of the central bank. I think a lot of inflation management what I have seen and has been is from the gut rather than based on some sort of driver and leading indicators which we need to have.

Chawla: What are the reasons for the meltdown? Is it lack